

head against the wall? Perhaps these activities are not contributing to value at all, but are actually detracting from value?

We can't say with certainty, but based on the bevy of tests previously cited, we can conjecture that while the analyst reading SEC documents all day is clearly collecting more information, the information may do nothing to enhance the analyst's forecasting ability. In fact, it is quite likely that the additional information detracts from his ability, as the analyst becomes systematically overconfident in his forecast of the future. Overall, any potential information edge that may exist can easily be overwhelmed by costs associated with cognitive bias issues.

Why Not Use Models?

Imagine you are watching Gary Kasparov, Russia's preeminent chess master, taking on IBM's Deep Blue, a cold, calculating box designed by a bunch of geeks. During the match, Gary is sweating it out, smiling when he makes a nice move, and cringing in pain when Deep Blue takes his queen. We see that Gary is like us. He is *familiar*; the machine is just an inhuman metal box. The machine has no emotion, no feelings, no empathy. Who do we want to win the match? We want Gary. He's like us, and we have a preference for the familiar (yes, another bias, we know). Nobody wants a computer to win.

And so what if the machine is actually better at chess than a human? We get it: Deep Blue with its ability to analyze 200 million positions per second, can best a human opponent. Does that mean we want a chess-playing computer mainframe making our life-and-death medical decisions—even if *the evidence suggests it should*? Probably not. Humans might be willing to put up with a flawed, but familiar human, because we empathize with flesh and blood. If the heart surgeon kills my aunt because he accidentally tied the tubes the wrong way, that's unfortunate, and I'm angry, but “people make mistakes, we're all human.” But imagine if a robot performs surgery on my aunt and she dies because the robot tied the tubes the wrong way. My immediate reaction: “Who in the heck thought it was a good idea to have a robot perform heart surgery—Where's my lawyer!?!” However, the truth is, increasingly in medicine the robot is much less likely to make such a